NATIONAL UNIVERSITY OF SCIENCE AND TECHNOLOGY
FUCULTY OF COMMERCE
DEPARTMENT OF ACCOUNTING
CAC 4104 ACCOUNTING INFORMATION SYSTEMS
PRACTICE QUESTIONS

QUESTION 1 [25 Marks]

You are an audit manager in Soko & Co, a firm of Chartered Certified Accountants. You have recently been made responsible for reviewing invoices raised to clients and for monitoring your firm's credit control procedures. Several matters came to light during your most recent review of client invoice files:

Nhoro (Pvt) Ltd, a large private company, has not paid an invoice from Soko & Co dated 5 June 2013 for work in respect of the financial statement audit for the year ended 28 February 213. A file note dated 30 November 2013, states that Nhoro (Pvt) Ltd is suffering poor cash flows and is unable to pay the balance. This is the only piece of information in the file you are reviewing relating to the invoice. You are aware that the final audit work for the year ended 28 February 2014, which has not yet been invoiced, is nearly complete and the audit report is due to be issued imminently.

Wallace (Pvt) Ltd, a private company whose business is the manufacture of industrial machinery, has paid all invoices relating to the recently completed audit planning for the year ended 31 May 2014. However, in the invoice file you notice an invoice received by your firm from Wallace (Pvt) Ltd. The invoice is addressed to Valerie Hobson, the manager responsible for the audit of Wallace (Pvt) Ltd. The invoice relates to the rental of an area in Wallace (Pvt) Ltd's empty warehouse, with the following comment handwritten on the invoice: 'rental space being used for storage of Ms Hobson's speedboat for six months - she is our auditor, so only charge a nominal sum of $100'. When asked about the invoice, Valerie Hobson said that the invoice should have been sent to her private address. You are aware that Wallace (Pvt) Ltd sometimes uses the empty warehouse for rental income, though this is not the main trading income of the company.

In the 'miscellaneous invoices raised' file, an invoice dated last week has been raised to Software Supply (Pvt) Ltd, not a client of your firm. The comment box on the invoice contains the note 'Software Supply (Pvt) Ltd to several audit clients regarding the supply of bespoke accounting software'.

Required:

Identify and discuss the ethical and other professional issues raised by the invoice file review, and recommend what action, if any, Soko & Co should now take in respect of:

(a) Nhoro (Pvt) Ltd **;** **[10]**

(b) Wallace (Pvt) Ltd **[10]**

(c) Software Supply (Pvt) Ltd **[5]**

QUESTION 2 [25 Marks]

(a) You are an outside consultant specialising in computer security brought in by an organisation to advice on the security aspects to the new computer centre.

i. What potential physical threats would you make your client aware of and precautionary measures would you suggest be taken? Advise on the techniques that can be implemented to control access to the computer centre?

[10]

ii. You also feel that a contingency plan is an essential aspect of the new computing facility. Explain to the client the purpose of such a plan, how it might be developed, and the standby options which are available. **[8]**

(b) Describe **six** possible ways of validating data, both before it is entered into a computer system, and by use of data validation program. [**7**]

QUESTION 3 [25 Marks]

You have recently been appointed as financial manager at Chido [Pvt] Ltd. The business provides cables and other electrical ware to the construction industry and was established by the current owner, an electrical engineer in 1990. Since then, the annual turnover of the company has grown significantly. One of the challenges of your new job is to manage the computerization of the existing inventory, sales and purchases systems. Management's strategic objectives in the past have included increasing revenue and controlling costs.

The owner's wife has played a major role in establishing and running the current manual accounting processes, but transaction volumes have grown too large for her and her small staff complement to handle. Consequently, the management of Chido [Pvt] Ltd plans to implement software on a microcomputer network with the following features:

- Three microcomputers will be located in the sales department, one in the purchases department and one in the inventory store. These computers will be linked to file server which will make the data and programmes available to users. The file server will be under your control.
- There will be on-line updating of the inventory, accounts receivable and accounts payable master files from the transactions entered in the sales and purchases systems. Transactions will be entered in batches.

REQUIRED

(a) Discuss in broad terms, the control considerations inherent in this type of data processing environment; and

[10]

(b) Describe briefly the procedures that should be followed for computerizing the Continuous inventory record system.

[15]

QUESTION 4 [25 Marks]

A small chain of four department stores is located in and around the city of Bulawayo. It is about to implement, in all stores, a point of sale system with linkages to a central computer. The stores all currently use conventional cash registers. You have been asked to assist in the conversion to a new system.

Required:

Write a report covering the following areas:

(a) An evaluation of the various approaches to the system changeover. **[8]**

(b) Suggestions as to how the new system might be evaluated after three months of operational running. **[17]**

QUESTION 5 [25 marks]

You have been appointed as head of newly created internal audit section within the computer department of a large food wholesaler. The department has a number of operational systems, some on line and some batch processing and a central corporate database. A significant effort is currently being devoted to new systems developments.

Your first task is to review the various types of controls which exist in the department and its computer systems.

Required:

(a) Elaborate on what you are looking for in your review in order to effectively perform an audit of a computer department as described above. Apply the relevant use of computer assisted auditing techniques in analysis. **[15]**

(b) State any computer assisted techniques are available, and where you might use them? **[10]**

QUESTION 6 (25 marks)

John Jut is a third year student in the Department of Accounting at a local university and is attached at Kufara (Pvt) Ltd, a company in Bulawayo. He has completed four months at the company and the management is impressed by his performance. They have confidence in him that they assigned him to write a report on the various types of information systems available which could be used by the different levels on management in the company. John is so excited and wants to prove how good and knowledgeable he is. So he visits you and asks for help

REQUIRED

a) Advise John on the issues that must be covered in the report
(15)

b) Support your answer in (a) above with the Anthony Hierarchy diagram.
(10)

QUESTION 7 (25 marks)

a) State clearly the various ways used for converting existing manual systems to a computerised systems.

(10)

b) For each of the methods mentioned above elaborate on three advantages and three disadvantages.

(15)

QUESTION 8 (25 marks)

Martin construction Pvt Ltd was awarded a contract to build 100 units of low cost houses in Nkayi by World Vision International. According to the contract the project must be completed within six months. Due to the economic situation it seems the time span allocated to them is too short. Since they have to source for the building materials from outside the country. The managing director of Martin Pvt Ltd decided to negotiate with World Vision International on the duration period to complete the project. World Vision assigned Mr. Peters a manager in charge of projects to analyse the project plan and produce a report which management can use in the negotiation with the construction company. Since the construction company is worried that they might not meet the stated completion date. Mr. Peters is worried because his knowledge for project management is not adequate enough to handle the situation.

REQUIRED:

a) Advise him on what is required for a project to succeed.

(15)

b) State techniques that can be used to monitor the project progress, giving examples for each**.**

(10)

QUESTION 9 (25 marks)

Fashion Limited is a retailer of ladies clothing and accessories. It operates in many countries around the world and has expanded steadily from its base in Europe. Its main market is aimed

at 15 to 35 year olds and its prices are mid to low range. The company's year end was 30 September.

In the past the company has bulk ordered its clothing and accessories twice a year. However, if their goods failed to meet the key fashion trends then this resulted in significant inventory write downs. As a result of this the company has recently introduced a just in time ordering system. The fashion buyers make an assessment nine months in advance as to what the key trends are likely to be, these goods are sourced from their suppliers but only limited numbers are initially ordered.

Fashion Limited has an internal audit department but at present their only role is to perform regular inventory counts at the stores.

Ordering process

Each country has a purchasing manager who decides on the initial inventory levels for each store, this is not done in conjunction with store or sales managers. These quantities are communicated to the central buying department at the head office in Europe. An ordering clerk amalgamates all country orders by specified regions of countries, such as Central Europe and North America, and passes them to the purchasing director to review and authorise.

As the goods are sold, it is the store manager's responsibility to re-order the goods through the purchasing manager; they are prompted weekly to review inventory levels as although the goods are just in time, it can still take up to four weeks for goods to be received in store.

It is not possible to order goods from other branches of stores as all ordering must be undertaken through the purchasing manager. If a customer requests an item of clothing, which is unavailable in a particular store, then the customer is provided with other branch telephone numbers or recommended to try the company website.

Goods received and invoicing

To speed up the ordering to receipt of goods cycle, the goods are delivered directly from the suppliers to the individual stores. On receipt of goods the quantities received are checked by a

sales assistant against the supplier's delivery note, and then the assistant produces a goods received note (GRN). This is done at quiet times of the day so as to maximise sales. The checked GRNs are sent to head office for matching with purchase invoices.

As purchase invoices are received they are manually matched to GRNs from the stores, this can be a very time consuming process as some suppliers may have delivered to over 500 stores. Once the invoice has been agreed then it is sent to the purchasing director for authorisation. It is at this stage that the invoice is entered onto the purchase ledger.

REQUIRED:

a) Identify and explain deficiencies in the system; **(10)**

b) Explain the possible implications of each deficiency; **(10)**

c) Provide recommendation to address each deficiency. **(5)**